STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Graeme Kernutt

Of

14/184-196 Noone Street
CLIFTON HILL VIC 3068

Prepared on:

22nd October 2020

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

22/10/2020

Mr Graeme Kernutt
14/184-196 Noone Street
CLIFTON HILL VIC 3068

Dear Graeme,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation Structure
- Superannuation contribution strategies
- Retirement Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Graeme, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio.
- Explore options as to best use of your surplus cash flow and cash deposits
- Explore ways in which to maximise your retirement nest egg as you move into the final phase of your working life.
- Place your future assets under the most tax effective ownership structure.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Graeme
Surname	Kernutt
Gender	M
Date of Birth	27/09/1953
Age Last Birthday	67

Employment Details

Employment Status	Self-employed
Occupation	Psychiatrist

Estate Planning

	Graeme
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home – Clifton Hill	$850,000
Home Contents	$50,000
Motor Vehicle	$5,000
Total Lifestyle Assets	**$905,000**

Investment Assets	
Investment Property – North Melbourne	$400,000
Shares	$100,000
Cash at Bank	$700,000
Offset Account	$324,000
Total Investment Assets	**$1,524,000**

Superannuation Assets	
IOOF Pursuit Focus Personal Super	$1,165,970
Total Superannuation Assets	**$1,165,970**

Total ASSETS	**$3,594,970**

LIABILITIES

Westpac Loan – Clifton Hill property (fully offset)	$324,000
Macquarie Loan – North Melbourne property	$190,000
Business Overdraft	$10,000
Total Liabilities	**$524,000**

NET WORTH	**$3,070,970**

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you can be classified as a Balanced investor in regards to investments within superannuation.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth-oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is "truly" balanced.
- Investors are typically comfortable with a variability of their capital over a 5-year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2020-21

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute

Surplus Funds

- Graeme, you currently have cash reserves of $700,000 in your personal name.
- You seek advice with respect to the best use of these funds.

Recommendation:

- Graeme, in light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make the following contributions prior to 30th June each year:
  - $25,000 Personal Concessional Contribution
  - $100,000 Personal Non-Concessional contribution
- These contributions are to be made into the recommended wholesale platform invested in a “Balanced” portfolio

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation – Pension Phase and Retirement Income Streams

Graeme, current legislation allows you (as you have reached preservation age) to commence an income stream with your superannuation monies. From age 60, all income received from this income stream is tax free.

Once you have commenced an income stream all income earnt from the amount funding the income stream is also tax free, as opposed to being taxed at 15% when in accumulation phase. Income that is taxed within the super fund includes distributions and any capital gains realised via the selling of units. It is therefore acceptable to conclude that tax on earnings is not simply 15% of the return rate of your fund each year, but an amount less than this based on what has occurred in the fund.

Recommendations:

- As you are currently receiving income that is adequate to cover your living expenses, we recommend that you do not convert your superannuation to pension phase until it is necessary to do so, because you would then be obliged to draw down an additional income stream annually.

Reasons:

- By implementing the structure recommended within this SoA, you will retain the option to convert your superannuation funds to pension phase, and begin drawing down an income stream as soon as is necessary, for example, if you were to retire.
- Whilst you are receiving adequate income, the obligation to draw down from a pension fund may be an inhibitor, as (once you cease working) you will be obliged to keep all the drawn monies in hand each year (as you will no longer meet the "work test"), as you will not be able to contribute them back into superannuation.

Important things to consider:

- In order make contributions to superannuation after the age of 65 you must meet the 'work test'.

The 'work test;
The work test is met if you are gainfully employed for at least 40 hours in a period of not more than 30 consecutive days in the financial year.

Gainfully employed is employed or self-employed for gain or reward in any business, trade, profession, vocation, calling, occupation or employment.

The concept of 'gain or reward' envisages receipt of remuneration such as salary or wages, business income, bonuses, commissions, fees or gratuities, in return for personal exertion.

Superannuation Taxable and Tax-free Components

Upon death, all funds in the tax-free component are passed to beneficiaries, including tax non-dependants, tax-free. Any funds passed to tax non-dependants from the taxable component are taxed at 17% (Incl Medicare).

Non-concessional (after tax) contributions into the superannuation environment form part of the tax-free component of the fund.

The current taxable components (and subsequent tax payable if paid to non-dependants) for your super fund is as follows:

	Taxable Component	Potential tax payable if paid to non-dependants
Graeme	$703,671	$119,624

Superannuation Funds

Recommendations:

- Graeme, rollover your IOOF Super fund into the recommended wholesale platform invested in a “Balanced” portfolio.
- All future contributions will be directed into the recommended fund.

Benefits:

- Your capital is invested inside the superannuation environment consistent with your *Balanced* investor risk profile and structured in a more actively managed portfolio
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector
- You will have access to a wide range of investment options which cannot be accessed in your current funds
- The recommended wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- **The recommended fund provides a lower fee structure and the historical performance of the underlying funds compare favourably to your existing fund.**

Risks:

- The recommended investment’s performance is subject to market fluctuations.
- Investment performance is not guaranteed.

Current Superannuation Structure

Graeme, your IOOF Super fund is invested in the following:

99%	IOOF Multimix Growth Trust
1%	Cash account
100%	

The overall asset allocation over your portfolio is as follows:

Asset Class	% of Portfolio
International shares	36.63%
Australian Shares	30.69%
Fixed Interest	5.94%
Property	10.89%
Other	13.85%
Cash	2.00%
	100.00%

Proposed Asset Allocation

Asset Class	% of Portfolio
Australian Shares	34%
International Shares	20%
Property	14%
Fixed Interest	32%
	100%

Current and Proposed Portfolio Historical Performance

Current IOOF Super at 30/09/2020

	1 year	3 years	5 years
IOOF Pursuit Focus Personal Super **Growth Portfolio**	0.70%	7.84%	8.04%

Alternative Colonial First State (CFS) Growth Portfolio at 30/09/2020

Colonial First State – Growth Portfolio				
	% of portfolio	**1 year**	**3 years**	**5 years**
Pendal Wholesale Australia Share	7%	-6.40%	5.00%	7.34%
CFS Wholesale Aust. Small Companies	28%	8.98%	13.12%	12.60%
Colonial First State Wholesale Index Australian Share	8%	-8.19%	5.23%	7.46%
Colonial First State Wholesale Index Global Share	25%	3.88%	9.98%	9.04%
Pendal Wholesale Property Investment (BT)	17%	-9.98%	5.92%	6.37%
Colonial First State Wholesale Index Australian Bond	15%	2.44%	4.82%	3.55%
	100.00%	**1.05%**	**8.67%**	**8.51%**

Alternative IOOF Super at 30/09/2020

	1 year	3 years	5 years
IOOF Pursuit Focus Personal Super **Balanced Growth** Portfolio	1.48%	7.40%	7.35%

Proposed Colonial First State (CFS) Balanced Portfolio at 30/09/2020

Colonial First State – Balanced Portfolio				
	% of portfolio	**1 year**	**3 years**	**5 years**
Pendal Wholesale Australia Share	5%	-6.40%	5.00%	7.34%
CFS Wholesale Aust. Small Companies	24%	8.98%	13.12%	12.60%
Colonial First State Wholesale Index Australian Share	5%	-8.19%	5.23%	7.46%
Colonial First State Wholesale Index Global Share	20%	3.88%	9.98%	9.04%
Pendal Wholesale Property Investment (BT)	14%	-9.98%	5.92%	6.37%
Colonial First State Wholesale Index Australian Bond	32%	2.44%	4.82%	3.55%
	100.00%	**1.59%**	**8.03%**	**7.60%**

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

Colonial FirstChoice Wholesale Personal Super	MER %	Amount invested ❶ $	Estimated fee $
Pendal Wholesale Australia Share	1.10%	$58,299	$641
CFS Wholesale Aust. Small Companies	1.36%	$279,833	$3,805
Colonial First State Wholesale Index Australian Share	0.34%	$58,298	$198
Colonial First State Wholesale Index Global Share	0.35%	$233,194	$816
Pendal Wholesale Property Investment (BT)	1.22%	$163,236	$1,991
Colonial First State Wholesale Index Australian Bond	0.34%	$373,110	$1,268
Total ongoing fees❶	**0.748%**	**$1,165,970**	**$8,719**

❶ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

Replacement of an Existing Product

Type of Fee or Cost	IOOF Super	Colonial First State (proposed)
Account Keeping Fee- this is the fee for initial and subsequent contributions.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.34% p.a.	Nil
Adviser Service Fee- additional fee paid to financial adviser	Nil	Nil (to be discussed)
Investment Costs- are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.11% p.a.	0.748% p.a.
Annual average cost on total $1,165,970 investment	**$16,907 p.a.**	**$8,719**

Outcomes Post Recommendation:

- The sum of your total ongoing management and administration fees will **decrease** by approximately **$8,188 PER ANNUM**.
- Your superannuation funds will be invested in-line with your "balanced" investor risk profile and structured in a more actively managed portfolio.

Investment Recommendations

After considering your investment profile, your financial objectives, the current economy and economic trends, we recommend that your funds be invested in the following manner.

Proposed Portfolio

Superannuation Assets	Value
IOOF Pursuit Focus Personal Super	$0
Colonial First State Wholesale Personal Super	**$1,165,970**
Pendal Wholesale Australia Share	$58,299
CFS Wholesale Aust. Small Companies	$279,833
Colonial First State Wholesale Index Australian Share	$58,298
Colonial First State Wholesale Index Global Share	$233,194
Pendal Wholesale Property Investment (BT)	$163,236
Colonial First State Wholesale Index Australian Bond	$373,110
	$1,165,970

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one-off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
- No switching fees or exit fees apply to this investment.

What is paid to your adviser?

Plan Fee

You have agreed to a Plan Fee of $1,650 (Including GST), which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	**Amount Invested**			**Initial**		**Ongoing**	
		(%)	**($)**	**(%)**	**($)**	**(%)**	**($)**
Graeme - Colonial FirstChoice Wholesale Super	$1,165,970	Flat Fee	$1,650	Flat Fee	$1,500	0.00%	$0

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Any regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.